

WHAT IS A BOND?

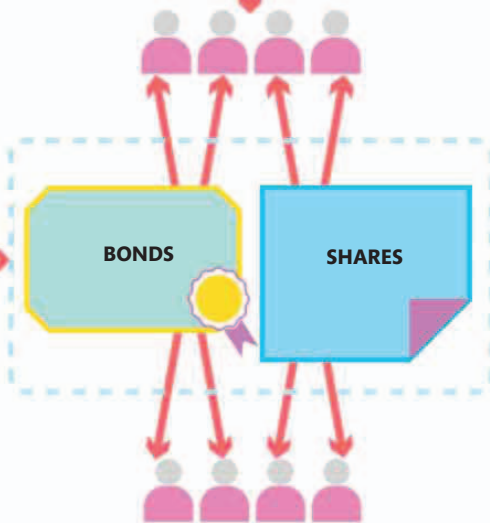
A bond is a debt security that a company issues to investors. By buying bonds, an investor is effectively loaning money to the issuers, who in return agree to pay interest to the investor. A bond has a set term of maturity (a limited number of years of validity) and until that

time the interest is paid to the investor annually. When the bond matures, the issuer repays the original sum of the loan to the investor. Companies or governments issue bonds to raise money that can then be put back into the business or used to fund government.

\$100
trillion
the estimated value
of global debt markets

Secondary market

Investors buy bonds and shares from other investors, not from issuing companies. The cash proceeds go to an investor, not to the underlying company or entity.



Individual investors buy and sell shares and bonds previously issued on the primary market

Bonds or shares: pros and cons

Bonds (debt investments)

- ✓ Sellers are contractually obliged to pay interest
- ✓ Bonds are less risky: debt capital markets are less volatile than stock exchanges; if the issuing company has trouble, bondholders are paid before other expenses and before compensation to shareholders
- ✗ Buyers of bonds have no stake in the company
- ✗ Buyers cannot access principal sum until bonds mature

Shares (equity)

- ✓ Buyers of shares gain a stake in the company
- ✓ Sellers of shares have to pay dividends, although these can be reduced or suspended if the company feels it is necessary
- ✗ Shares are more risky: changes in company profits and in the economy as a whole can cause share prices to rise and fall; if the company fails, the shares become worthless